currencies.[167] The World Bank also will issue bonds in China settled in RMB but backed by the IMF's currency basket for the first time. This is, in part, to revive China's domestic bond market (already the third-largest), but international investors hold less than 2 percent. China is also interested in boosting SDR use to support RMB internationalization and challenge the global dominance of the dollar.[168]

Third, the five BRICS have supported greater use of the RMB and other local currencies for trade, and they have signed currency swap agreements stating that this is their intention. China in particular has taken concrete steps to implement local currency-denominated trade with many of its trading partners through settling the trade in the RMB. In 2015, trade settlement in RMB totaled $1.7 trillion, about 25 percent of China's annual trade. HSBC Bank forecasts that annual cross-border trade settlement in RMB will climb to over 50 percent of China's total trade by 2020.[169] In order to facilitate such RMB settlements, the PBOC has concluded RMB swap arrangements with more than thirty countries, including Russia and Brazil. As of summer 2014, more than fifty central banks had invested in RMB assets using onshore and offshore RMB markets.[170]

The final category of concrete steps that would be needed to promote a shift away from the U.S. dollar and toward the RMB would be Chinese moves to open its capital account and liberalize the country's domestic financial markets and regulation, allowing them to become more liquid and opening them up to foreign financial investors. China has made some important moves in this direction (see Chapter 2). Such pro-market financial reforms may have multiple goals, including promoting domestic financial reform and economic efficiency, and have encountered domestic resistance (see Chapter 4).[171]

As an exercise in collective financial statecraft among the BRICS countries, their attempt to cohere around the goal of tempering U.S. dollar hegemony has met with some although limited, success. Although there has been a dramatic percentage increase in the employment of the RMB as a global transactions currency, it remains a small share of total transactions. Nor is the RMB's share of official reserves large, although both have risen rapidly. The BRICS leaders have made many speeches in support of this goal, and individual countries have modified their initial positions in order to move closer to the BRICS' club position. But the attempt to challenge the dominance of the U.S. dollar is still in its early stages. It has been relatively